MOBILITY GLOBAL INC -SPN MBGL

June 25, 2026 - 8:38pm EST
by gary9

			2026	2027
Price:	17.00	EPS	0	1.73
Shares Out. (in M):	298	P/E	0	9.8x
Market Cap (in $M):	5,076	P/FCF	0	0
Net Debt (in $M):	1,781	EBIT	730	799
TEV (in $M):	6,857	TEV/EBIT	0	0

Description

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Intro & The Spin-Off Dynamics

S&P Global (SPGI) is spinning off its Mobility division—creating a newly independent, publicly traded entity named Mobility Global Inc. (MBGL). The separation is structured as a 1-for-1 tax-free distribution to SPGI shareholders of record on June 15, 2026, with the distribution occurring on July 1, 2026. "When-issued" trading will begin June 26th under the ticker **MBGL-W**. We believe MBGL will be sold off by the majority of SPGI holders given its much smaller size (<10% of parent cap) lack of overlap with the legacy SPGI businesses and lack of a direct comp. This combined with the sector wide multiple compression for information services currently will likely create an excellent entry point for a high-quality business. We wanted to flag this likely opportunity ahead of the spin so the VIC audience can get up to speed and hopefully take advantage of the spin induced entry point in early July.

Background & Asset Breakdown

Mobility Global was acquired as part of the SPGI's purchase of IHS in 2022.   Given the lack of fit with the broader capital markets driven SPGI portfolio it was decided that Mobility would be spun off last year. After the spin Mobility will have a more focused management team combined with a less siloed operating structure which should enable some level of cross sell across the company. They will be 2.4x levered at spin but given the lower capex requirements they should generate plenty of FCF allowing capital return and select M&A. Management's option package on the spin co has yet to be disclosed.

Mobility Global is the undisputed gold standard for vehicle intelligence. The crown jewel of the company is CARFAX, a consumer-facing brand with near-universal recognition that acts as a mandatory utility for used-vehicle transactions. MBGL also houses automotiveMastermind (predictive dealership workflow software), Polk Automotive Solutions (audience targeting and marketing analytics), and Market Scan (automotive pricing and incentive intelligence). Together, these three assets make up their B2B segment and provide critical data, analytics, and software across the entire vehicle lifecycle, mainly to dealerships. Mobility will report in two segments, Carfax and B2B, with Carfax being 65% of revenue.   83% of revenue is generated in the US and 81% is subscription based.

Growth Drivers:

Mobility Global is benefiting from several tailwinds which has resulted in the company compounding revenue at 8.6% CAGR over the last few years. Given the subscription mix this growth has been very resilient across various economic environments. Management breaks down the 7.5%-10% revenue growth target into three buckets. 5-7% from their core business (this seems to be mostly price), 1-2% from new products and 1-2% from international expansion. Despite the brand recognition of Carfax, management believes they are only 13% penetrated in their core TAM. Simplifying the business structure should enable more cross sell opportunities, which were historically not tapped. They recently just entered the German market and are relatively early in penetrating markets outside of the US.

AI risk:

The entire info services sector has seen significant valuation compression over fears of AI driven disruption. We don't think it's fair to apply these fears evenly across the sector, as not all data sets are equally accessible by AI. Mobility global isn't simply repackaging widely available data into a new format like FactSet, it also serves end markets that are unlikely to see massive job losses due to AI. Mobility Global owns or has exclusive access to the proprietary data that powers its products. The data behind a Carfax report can't be scraped from the web. They have over 177k fragmented data sources and 38 billion historical vehicle records that help to give a complete picture of every car's accident history.   Predictive engines like automotiveMastermind require highly restricted, state-by-state vehicle registration data (Polk) and individual dealer management system (DMS) transaction histories. Again, these are not public data sets.

Future Earnings Power & Financial Targets:

During its inaugural Investor Day in May 2026, management provided clear medium-term financial targets. The company outlined a medium-term organic revenue growth target of 7.5% to 10% per year, supported by a highly predictable base where over 80% of revenue is subscription-driven. They have guided to

5-7% revenue growth from the core business and the rest being driven by adding new customers and cross selling new products to current customers. Mobility expects to have 50bps per year of margin expansion off their post split rebased level. They are targeting 75% or more of annual free cash flow to be returned to shareholders. Post their recent debt offering (3 part ~5.5% average interest expense), which funded a dividend to SPGI they will be levered ~2.4x.

Assuming a conservative 7% to 8% top-line growth trajectory through the end of the decade, operating leverage will naturally expand margins. Low 40% margins isn't a ceiling either, other moated info services companies have EBIT margins in the mid 50% to low 60% range. A more focused structure and the application of AI should push margins higher relative to what simple operating leverage would deliver.

MBGL	2026	2027	2028	2029	2030
Revenue	$ 1,890	$ 2,041	$ 2,204	$ 2,381	$ 2,571
EBITDA	$743	$813	$896	$981	$1,075
EBITDA Margin	39.3%	39.8%	40.6%	41.2%	41.8%

Valuation Range:

Given trading in the when issued market hasn't started yet we created a sensitivity table to help gauge the potential range of initial outcomes. We think this will get sold off and likely trade into the mid-teens given the general malaise in the sector and the relative size difference between parent and remain co. There are also no direct peers, nor is there any direct competitor that offers the same suite of products, which makes comping this even harder. Info service companies that don't have an obvious AI disruption threat trade in the low to mid teens multiple on forward EBITDA currently. This will trade at a discount to that, but it shouldn't trade as low as a FDS.

Factoring in the present value of the legacy INFO tax liability (12yrs, $85mln per year = $685mln PV) we get the following range of outcomes based on 2027 estimated EBITDA. In a different market this type of company would trade well north of 12x forward EBITDA, but in this environment with the distribution pressure its quite likely we see it under 10x. Around $15-$17/shr this becomes an absolute value, where we think it's hard to lose money on a multi-year basis (famous last words…) A reasonable 2 yr target would be mid to high $20s as the market begins to appreciate the data moat the company has, and they continue to deliver consistent 7-10% organic sales growth.

Mobility 2027 EBITDA	Mobility 2027 EV/EBITDA Multiple: 9.0x	9.5x	10.0x	10.5x	11.0x	11.5x	12.0x
$ 750	$ 14.4	$ 15.6	$ 16.9	$ 18.1	$ 19.4	$ 20.6	$ 21.9
$ 775	$ 15.1	$ 16.4	$ 17.7	$ 19.0	$ 20.3	$ 21.6	$ 22.9
$ 800	$ 15.9	$ 17.2	$ 18.5	$ 19.9	$ 21.2	$ 22.6	$ 23.9
$ 825	$ 16.6	$ 18.0	$ 19.4	$ 20.8	$ 22.1	$ 23.5	$ 24.9
$ 850	$ 17.4	$ 18.8	$ 20.2	$ 21.6	$ 23.1	$ 24.5	$ 25.9
$ 875	$ 18.1	$ 19.6	$ 21.1	$ 22.5	$ 24.0	$ 25.5	$ 26.9

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

- Commencement of when-issued trading (June 26, 2026) and regular-way trading (July 1, 2026), creating the technical volume dislocation.
- The post-spin exhaustion of institutional index and financial-sector ETF forced selling within the first 60–90 days of standalone trading.
- First independent quarterly earnings report, which will cleanly highlight standalone operational leverage without parent-company corporate allocations.

Messages

Subject Carmax
Entry 06/25/2026 09:43 PM
Member OliviaUVA0818

Any reason why carmax does not use carfax and instead exclusively uses autocheck?

Subject Re: Carmax
Entry 06/26/2026 11:51 AM
Member gary9

Carmax buys a ton of cars at auction, where Autocheck is the default vehicle report in the US. Autocheck is used by a lot of high volume dealers who source primarily from auctions. It is cheaper than CARFAX, as I don't think CARFAX gives the same volume discounts.   That said, they are not really the same product and focus on different sub sets (wholesale vs retail). Autocheck also doesn't have the same level of detail that a CARFAX report provides as it doesn't have the service history from the thousands of repair shops that submit to CARFAX. This is a good overview of the differences in the reports: https://www.youtube.com/watch?v=t-_BsNWd8X4

Subject tax
Entry 06/29/2026 03:24 PM
Member roojoo

"Factoring in the present value of the legacy INFO tax liability (12yrs, $85mln per year = $685mln PV)"

What is the history here? The $85m seems to be a cash expense so I should deduct it from FCF... But when I see sell side models they also add a $110m tax impact to adjusted net income before deducting $85m.

Subject Question
Entry 06/29/2026 03:27 PM
Member hkup881

Apologies as I'm not an accountant and tax is complex. Is the IHS tax liability cost of ~$85m a cash cost each year?? MS has it in their model. I ask as it's a pretty large number.

FOUNDATION

Exhibit 20: Morgan Stanley Mobility Global Financial Estimates

Mobility Global Operating Model	2023	2024	2025	2026E	2027E	2028E
Revenue	**$1,485.0**	**$1,613.0**	**$1,750.0**	**$1,887.4**	**$2,038.4**	**$2,201.5**
Organic Revenue Growth Y/Y	*8.2%*	*8.3%*	*8.6%*	*7.9%*	*8.0%*	*8.0%*
Operating Expenses	$939.0	$1,006.0	$1,101.0	$1,290.2	$1,313.2	$1,378.8
GAAP EBITDA	$546.0	$607.0	$649.0	$597.3	$725.2	$822.7
Adjustments						
Stock-Based Compensation	*$20.0*	*$28.0*	*$22.0*	*$61.3*	*$66.2*	*$71.5*
One-Time PubCo Costs	*0.0*	*0.0*	*0.0*	*75.0*	*25.0*	*0.0*
Other	*30.0*	*22.0*	*40.0*	*13.0*	*0.0*	*0.0*
Adj. EBITDA	**$596.0**	**$657.0**	**$711.0**	**$746.6**	**$816.5**	**$894.2**
Margin	*40.1%*	*40.7%*	*40.6%*	*39.6%*	*40.1%*	*40.6%*
Adj. EBITDA Post-SBC	**$576.0**	**$629.0**	**$689.0**	**$685.3**	**$750.2**	**$822.7**
Margin	38.8%	39.0%	39.4%	36.3%	36.8%	37.4%
D&A	$307.0	$309.0	$310.0	$310.0	$310.0	$310.0
EBIT	239.0	298.0	339.0	287.3	415.2	512.7
Interest Expense and Other, net	15.0	14.0	13.0	54.9	109.8	109.8
EBT	224.0	284.0	326.0	232.3	305.4	402.9
Tax Rate	27.2%	26.8%	32.5%	33%	30%	27%
Tax Expense	61.0	76.0	106.0	75.5	91.6	108.8
Net Income	**163.0**	**208.0**	**220.0**	**156.8**	**213.8**	**294.1**
Adjustments						
Total Adjustments	352.0	354.0	345.0	441.0	395.9	376.2
Tax Impact	95.9	94.7	112.2	143.3	118.8	101.6
Adj. Net Income	**419.1**	**467.3**	**452.8**	**454.5**	**490.9**	**568.7**
Margin	*28.2%*	*29.0%*	*25.9%*	*24.1%*	*24.1%*	*25.8%*
Adj. Net Income Post-SBC	**404.6**	**446.8**	**438.0**	**413.1**	**444.5**	**516.5**
Share count			296.0	296.0	296.0	296.0
Adj. EPS Post-SBC			**$1.48**	**$1.40**	**$1.50**	**$1.74**
Net Income	$163.0	$208.0	$220.0	$156.8	$213.8	$294.1
D&A	307.0	309.0	310.0	310.0	310.0	310.0
Stock-Based Comp	20.0	28.0	22.0	61.3	66.2	[illegible]
Deferred Income Taxes	(95.0)	[illegible]	(90.0)	*(85.0)*	*(85.0)*	*(85.0)*
Other	11.0	9.0	16.0	0.0	0.0	0.0
Working Capital	(13.0)	(25.0)	(31.0)	0.0	0.0	0.0
CFO	393.0	427.0	447.0	443.2	505.0	590.6
Capex	(18.0)	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]
Capex as % of Revenue	1.2%	0.9%	1.4%	*1.25%*	*1.25%*	*1.25%*
FCF (CFO less Capex)	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]	[illegible]
FCF per share			*$1.59*	*$1.58*	*$1.79*	*$2.09*

Source: Company Data, Morgan Stanley Research.

Subject Re: tax
Entry 06/29/2026 05:22 PM
Member gary9

When S&P Global acquired IHS Markit it stepped up the book value of the acquired intangible assets (like the Polk data estate and CARFAX networks) to fair value for GAAP reporting, but the tax basis remained historical. That mismatch created the ~$1 billion deferred tax liability for the Mobility segment. Its listed as Deferred tax liability - non current on the balance sheet and I believe the corresponding asset account on the balance sheet is other intangible assets. Management in its investor day guided to 80-90mln in cash headwind over the next 12 years as a result of this as it works off. However, the $80–$90 million is not a direct cash bill paid to the IRS for the DTL itself. Instead, it is a cash tax *headwind* when bridging GAAP net income to free cash flow. Mobility's GAAP book tax expense is artificially lowered by 80-90 mln per year due to the amortization of the intangible assets that are not actually tax deductible. This is why we have to add back that tax expense on the cash flow statement, as the GAAP income we are starting with doesn't factor that in.

Why is it $85m if there's $310m of D&A to amortize? The difference would be 27.4% tax rate and there is some actual depreciation in there.

Keep in mind the you are not using adjusted net income to create a CF statement (see MS model in the comment above for example), so they are adjusting for the tax impacts of adding back amortization in adj NI, but that isnt your starting point in the CF statement.

Taking 2027 at face value, you have $725.2m of GAAP EBITDA - $109.8m interest = $615.4m EBT. Then you have $118.8m of tax impact followed by another $85m of tax?? So $203.8m of taxes?? That's 33.1% taxes on the EBT + D&A number. Seems too high when I try it back to the tax impact for the difference in deferred tax liabilities.

Thanks in advance.

Subject Re: Question
Entry 06/29/2026 05:31 PM
Member gary9

Its not a separate cash cost, its simply being adding into the cash flow statement to bridge the incorrect GAAP tax amount to the real cash tax expense.

In your example I think you are mixing GAAP and non GAAP numbers in the MS model. the 118mln is a non GAAP tax add back and the 85mln is to bridge the lower GAAP tax expense to the correct tax number. I see $91.6mln GAAP taxes plus $85mln in the model above = $176.6mln in taxes, or 28.7% of your 615.4mln in EBT.